



Less power-hungry Libra?

Facebook's cryptocurrency, Libra, supposedly has a smaller environmental footprint than Bitcoin. <https://digit.in/july19-62>



Man and Machine

Human jobs in factories may be saved if humans start teaming up with machines. <https://digit.in/july19-63>

obtain essential information from the customer which include the name and IMEI number of the product, details about its condition and more. Based on several metrics of age, wear and tear, market demand and more, a system-generated price is quoted. Upon further, personal inspection, the final price is determined. According to Jayant Jha, the co-founder and CEO of Yaantra, which is yet another Indian recommerce platform, an in-house developed proprietary technology is used to test products. The quality check process at Yaantra covers functional tests for all hardware components in a device like touch, display, speaker, data network, Wi-Fi, input keys, etc. They also check software/firmware updates. Once the purchased devices are refurbished, they go through a rigorous 36-point quality checklist. Users not only get quality assurance but also can be sure that the device is not stolen since the company does a thorough check before buying any device.

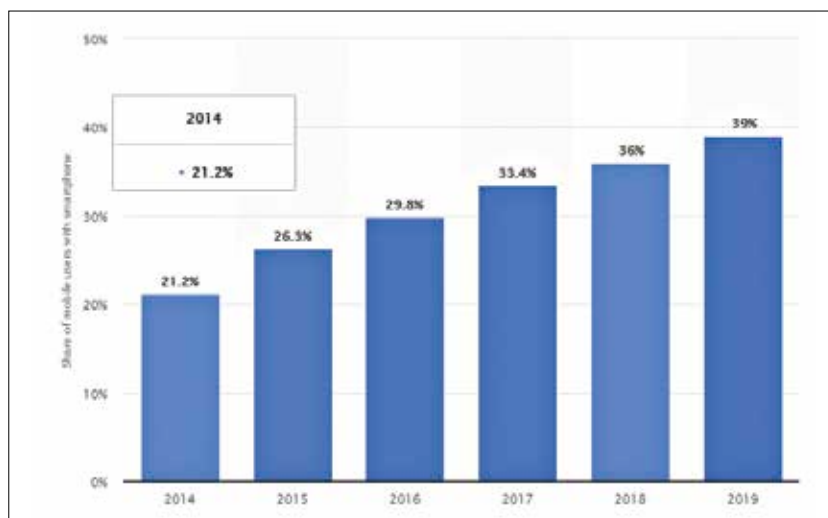
SCOPE

India is the world's largest growing smartphone market and the average replacement period for smartphones is after 15 months of usage. Being a value and price sensitive market, there is a huge, untapped demand of certified pre-owned/refurbished gadgets from a trusted source. According to the Refurbished Smartphone Tracker report by Counterpoint Research, India is currently leading in the second-hand smartphone market. The Indian market grew exponentially in this segment by 14 per cent last year to almost 14 million refurbished devices. This sector, however, is largely unorganised, with no company having even 1% share in this sector. Therefore, there is ample room for new or existing recommerce companies to become 'The Brand' in this sector.

According to a Deloitte report, the growth rate of the second-hand smartphone market is forecasted to be around 4-5 times higher than the overall smartphone market. There is a huge market in the hinterland as well, especially Tier 2 and 3 cities in India. These cities are often plagued with second-hand gray mar-



The price generation online process used by Yaantra



The Indian smartphone penetration is only 39% and recommerce could bridge that digital divide

kets which sell electronics that are notorious for stolen goods. Since a majority of people living in these cities probably have, or are getting internet access, they can access recommerce sites which can provide them with better deals, quality assurance and better still, warranty! Additionally, for businesses, the profit margins in this sector are usually much better than the brand new gadgets sector. The report also stated that the Indian used-smartphone market is expected to reach 4 billion USD by 2020.

CHALLENGES

Bagaria from Budli.in laments, "An average layman in India does not even understand the word 'refurbished'. The biggest challenge is brand creation and the lack of awareness about the refurbished segment". Consumers in India certainly do have apprehensions about buying refurbished products. They are often perceived to be gadgets of low quality or faulty and are often pushed aside hastily by consumers. Jha at Yaantra addresses yet another issue, "People, in general, have a misconception that all refurbished products are used or

secondhand. Refurbished doesn't necessarily mean a used product, but they could be the products that are kept on display or used in demos and hence the package-box is opened".

Additionally, one of the most prevalent obstacles in the recommerce sector is that it is mostly unorganised. Most Indians are used to dealing with unorganised players. Therefore people refuse to trust recommerce sites, even though they offer quality and genuinity checks, as well as warranty. The fragmented supply chain and reverse logistics are considerable hindrances in this sector as well. However, this seems to be changing with the growth of well-organised retail and e-commerce.

Despite these challenges, recommerce is addressing an actual, tangible need - to provide devices which are in good condition from a trusted source. Recommerce has the potential to bridge the digital divide, especially in a country like India, between those who enjoy access to technology and those who don't. At the same time, it can also help reduce e-waste and save the environment. Seems like a win-win situation to us! 📱